



Ministry of Housing,
Communities &
Local Government

Rosie Seymour
Deputy Director

**Ministry of Housing,
Communities &
Local Government**
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London SW1P 4DF

**For the Attention of: All Section 151 Officers / Directors of
Finance**

31 July 2026

Dear Colleagues,

I am writing to make you aware that Section 94 (Audit Committees) of the English Devolution and Community Empowerment Act 2026 has now been commenced in relation to Category 1 authorities (excluding health service bodies), with effect from 15 July 2026. You can find the commencement regulations [here](#).

As a result, relevant authorities under the [Local Audit and Accountability Act 2014](#) are now required to have an audit committee in place. The audit committee must exercise the functions set out in the Act, namely:

- reviewing and scrutinising the authority's financial affairs;
- reviewing and assessing the authority's risk management, internal control and governance arrangements;
- reviewing and assessing the economy, efficiency and effectiveness with which resources have been used in discharging the authority's functions; and
- making reports and recommendations to the authority in relation to those matters.

We expect that the vast majority of authorities already have these governance arrangements in place, and therefore do not anticipate that significant changes will be necessary. However, if you foresee any difficulties in complying with these requirements, please let my team know.

You should note that the legislation has been structured so that the requirement for an audit committee to include an independent member is not yet in force. Section 94 provides for further regulations to be made covering audit committee membership, appointments and the payment of allowances, and it is through those regulations that

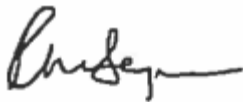
the requirement for an audit committee to have at least one independent member will be brought into effect.

The Government intends to lay these regulations in due course, when parliamentary time allows. The regulations will be followed by statutory guidance setting out more detailed expectations for the operation of audit committees.

In the meantime, we would encourage those authorities that do not already have an independent member on their audit committee to begin recruitment and appointment arrangements. Early planning will help ensure that authorities are well placed to comply once the relevant regulations come into force.

If you have any questions, please contact the Local Audit Reform team,
localaudit@communities.gov.uk.

Yours faithfully,

A handwritten signature in black ink, appearing to read 'Rosie Seymour', with a stylized, cursive script.

Rosie Seymour

Deputy Director, Local Audit Reform Team
Ministry of Housing, Communities and Local Government